

Research Notes on the General Framework of EU-China Relations

Method and source note

These notes cover only Chapter I of the thesis and are built from sources that were directly checked during this research session: official EU legal and policy documents, Eurostat and DG Trade statistical pages, WTO materials, European Parliament studies, and selected academic publications that were accessible in abstract or full text. Where two official EU sources reported slightly different values for the same recent trade aggregate, the discrepancy is stated explicitly rather than harmonised without a fresh database extraction, in line with the user's instruction not to choose silently between conflicting figures. ¹

The source base is weighted toward official EU and WTO materials because the chapter is about the historical, institutional, and policy framework of EU-China economic relations. Chinese official materials are used sparingly and identified as official Chinese government perspective when referenced. Academic interpretation is separated from factual description. Where a verified page number was available from a PDF, it is given; where only HTML or search-result text was verified, page numbers are omitted. ²

Evolution of the strategic partnership

This section corresponds to thesis subsection 1.1, "**Evolution of the EU-China strategic partnership, 1975-2025.**"

Short research summary

EU-China relations began as a limited diplomatic and trade relationship and evolved into a dense but increasingly conflictual partnership. Official EU sources identify **1975** as the year diplomatic ties were established, while the **25th EU-China summit in July 2025** explicitly marked the **50th anniversary** of those relations. The first formal trade pillar came through the **1978 Trade Agreement** between the EEC and China, which created a Joint Committee for Trade, while the **1985 Trade and Economic Cooperation Agreement** broadened the relationship from trade to wider economic cooperation and created a Joint Committee structure that still underpins the legal framework. ³

The relationship did not develop linearly. The **1989 Tiananmen crackdown** triggered a political freeze and the EU arms embargo on China, which EU institutions still trace to the **Madrid European Council declaration of 27 June 1989**. Although trade continued, security cooperation remained structurally limited thereafter. China's **WTO accession on 11 December 2001** marked a new phase of economic deepening and accelerated China's integration into the multilateral trade order, which in turn intensified EU expectations regarding reciprocity, subsidy discipline, and market access. ⁴

The relationship was politically upgraded in **2003** to a **comprehensive strategic partnership**, and the **EU-China 2020 Strategic Agenda for Cooperation**, adopted in **2013**, became the highest-level joint guidance document for the partnership. However, official EU language shifted markedly in **2019**, when the Commission and the High Representative described China simultaneously as **a cooperation partner, a negotiating partner, an economic competitor, and a systemic rival**. That document is the clearest official marker of the EU's move away from a predominantly engagement-based framework toward a more differentiated and defensive one. ⁵

The **2020-2023** phase combined ambitious economic negotiation with severe political deterioration. In **September-November 2020**, the EU and China concluded and approved the **Geographical Indications Agreement**, the first significant bilateral trade agreement between them. In **December 2020**, the two sides also reached an **agreement in principle** on the Comprehensive Agreement on Investment, but the investment file stalled after the 2021 sanctions-and-countersanctions cycle and the European Parliament's decision that CAI consideration was "justifiably frozen." Russia's war against Ukraine, China's alignment choices, and widening concerns over overcapacity, subsidies, export controls, and coercion accelerated the policy turn. ⁶

Since **2023**, the central EU formula has been **"de-risking, not decoupling."** The **June 2023 European Council conclusions** stated that the EU would reduce critical dependencies and vulnerabilities and "de-risk and diversify where necessary and appropriate," while affirming that the EU "does not intend to decouple." The **December 2023 summit** reiterated that de-risking means strengthening resilience by addressing critical dependencies in specific sectors, and the **July 2025 summit** linked the 50th anniversary to a more explicit debate over "critically unbalanced" trade, overcapacity, market access, and Chinese restrictions on rare earths and permanent magnets. ⁷

Key verified facts

- Diplomatic relations between the European Communities/EU and China date to **1975**, and the **25th EU-China summit** held on **24 July 2025** was officially framed as the **50th anniversary** of those ties. (EEAS, 2013; Consilium, 2025) ⁸
- The **1978 Trade Agreement** established an **EEC-China Joint Committee for Trade** and provided that trade in goods and services would be carried out at market-related prices and rates. (EUR-Lex, 1978, Article 7/Article 9 verified through EUR-Lex search excerpt) ⁹
- The **1985 Trade and Economic Cooperation Agreement** broadened the relationship and created a **Joint Committee** to monitor the agreement, review cooperation schemes, and examine obstacles to trade and economic cooperation. (EUR-Lex, 1985, Article 15 verified through EUR-Lex search excerpt) ¹⁰
- The EU arms embargo on China was established in the wake of Tiananmen in a **European Council declaration of 27 June 1989**; that legal-political legacy still shapes security cooperation. (European Parliament answer on behalf of the Commission, 2023) ¹¹
- China became a **WTO Member on 11 December 2001** under its Protocol of Accession. (WTO, 2001) ¹²
- The relationship was upgraded to a **comprehensive strategic partnership** in **2003**, and the **EU-China 2020 Strategic Agenda for Cooperation** was jointly adopted in **2013**. (Springer article abstract/intro, 2025; EEAS, 2013) ¹³

- The **2019 Strategic Outlook** defined China as simultaneously a **cooperation partner, negotiating partner, economic competitor**, and **systemic rival**. (European Commission & HR/VP, 2019, p. 1 of the document body as verified) ¹⁴
- The **2020-2021** period combined the **GI agreement** with the **CAI in principle**, but CAI ratification was then frozen by the European Parliament after Chinese sanctions against EU institutions and MEPs. (Council of the EU, 2020; European Parliament, 2021) ¹⁵
- The **2023-2025** period is officially characterised by **de-risking rather than decoupling** and by stronger EU concern over trade imbalance, overcapacity, and strategic dependencies. (European Council, 2023; Consilium, 2023; Consilium, 2025) ⁷

Quantitative data table

Indicator	EU value	China / bilateral value	Year	Source / database	URL	Access date
Total EU-China goods trade	n/a	€401.623 billion bilateral trade	2014	European Commission DG Trade factsheet; source cited as Eurostat Comext, statistical regime 4	https://webgate.ec.europa.eu/isdb_results/factsheets/country/details_china_en.pdf	2026-05-06
Total EU-China goods trade	n/a	€858.168 billion bilateral trade	2022	European Commission DG Trade factsheet; source cited as Eurostat Comext, statistical regime 4	https://webgate.ec.europa.eu/isdb_results/factsheets/country/details_china_en.pdf	2026-05-06
EU exports of goods to China	€199.6 billion	n/a	2025	Eurostat, dataset ds-059331	https://ec.europa.eu/eurostat/web/products-eurostat-news/w/ddn-20260410-2	2026-05-06
EU imports of goods from China	€559.4 billion	n/a	2025	Eurostat, dataset ds-059331	https://ec.europa.eu/eurostat/web/products-eurostat-news/w/ddn-20260410-2	2026-05-06

Indicator	EU value	China / bilateral value	Year	Source / database	URL	Access date
EU goods trade deficit with China	- €359.8 billion	bilateral balance	2025	Eurostat, dataset ds-059331	https://ec.europa.eu/eurostat/web/products-eurostat-news/w/ddn-20260410-2	2026-05-06

Two official EU sources differ slightly for **2024** goods trade values: the DG Trade factsheet reports **€519.0 billion imports** and **€213.2 billion exports**, while the Eurostat news release reports **€517.8 billion imports** and **€213.3 billion exports**. This should be footnoted as an unresolved official-data discrepancy unless the underlying extraction is re-run directly from the source database. (European Commission DG Trade, 2025; Eurostat, 2025) ¹⁶

Main academic interpretations

Academic literature converges on the idea that the relationship combines **continuity in economic interdependence** with **change in political trust and security framing**. Jing Men argues that continuity persists where material interdependence, institutionalisation, and shared functional interests remain strong, whereas change is driven by normative divergence, strategic competition, and external shocks. (Men, 2025) ¹⁷

Richard Maher’s classic argument remains relevant: the **2003 strategic partnership** raised expectations that EU-China relations would become “comprehensive,” but the relationship did not move decisively beyond trade into coherent alignment on wider political and security objectives. (Maher, 2016, abstract as checked) ¹⁸

Frédéric Krumbein’s 2025 article interprets the last decade as a move from liberal/institutionalist engagement toward a more **realist** EU approach focused on reciprocity, economic security, and risk management. In his reading, **2019** was the decisive watershed because it formally introduced the competitor/rival language that still structures EU policy. (Krumbein, 2025) ¹⁹

Policy relevance for the thesis

For the thesis, the core analytical point is that EU-China economic relations did not move from cooperation to conflict in a simple sequence. Instead, economic ties deepened even while the political interpretation of those ties changed. That distinction is essential for later chapters dealing with trade, competition, and policy instruments: **the framework shifted from engagement under conditions of growing interdependence to engagement under conditions of managed risk**. The historical periodisation should therefore foreground both continuity of exchange and the progressive hardening of EU policy language and instruments. ²⁰

Source list in APA style

- Council of the European Union. (2025, July 24). *25th EU-China summit - EU press release*. <https://www.consilium.europa.eu/en/press/press-releases/2025/07/24/25th-eu-china-summit-eu-press-release/> ²¹
- European Commission & High Representative of the Union for Foreign Affairs and Security Policy. (2019). *EU-China – A strategic outlook* (JOIN(2019) 5 final). <https://commission.europa.eu/system/files/2019-03/communication-eu-china-a-strategic-outlook.pdf> ²²
- European External Action Service. (2013, November 23). *EU-China 2020 Strategic Agenda for Cooperation*. <https://www.eeas.europa.eu/sites/default/files/20131123.pdf> ²³
- Eurostat. (2026, April 10). *Trade in goods with China in 2025*. <https://ec.europa.eu/eurostat/web/products-eurostat-news/w/ddn-20260410-2> ²⁴
- Eurostat. (2025, March 4). *Slight decline in imports and exports from China in 2024*. <https://ec.europa.eu/eurostat/web/products-eurostat-news/w/ddn-20250304-1> ²⁵
- Krumbein, F. (2025). Less panda, more dragon – Moving towards realism in EU–China relations. *International Journal of Asian Studies*, 22(2), 293–312. <https://www.cambridge.org/core/journals/international-journal-of-asian-studies/article/less-panda-more-dragon-moving-towards-realism-in-euchina-relations/5BC424D5D84DEEE434DBC3CB77C36AB5> ¹⁹
- Maher, R. (2016). The elusive EU-China strategic partnership. *International Affairs*, 92(4), 959–976. Abstract page checked at <https://cadmus.eui.eu/entities/publication/b0b6ea42-5428-57b9-abc0-3158f305036e> ¹⁸
- Men, J. (2025). EU–China relations at 50: Continuity, change, and institutional resilience. *China International Strategy Review*, 7, 242–257. <https://link.springer.com/article/10.1007/s42533-025-00200-0> ¹⁷
- World Trade Organization. (2001). *Protocol on the accession of the People's Republic of China*. Verified via WTO accession notice at https://goods-schedules.wto.org/system/files/WTO_import/Drive/WT-Let_English/408.pdf ¹²

Gaps or claims requiring further verification

- The exact **day** of the 1975 establishment of diplomatic relations was not separately verified from an official EU legal archive during this session; only the **year** and the 2025 “50th anniversary” framing were verified. ⁸
- The full text of the **1978 Trade Agreement** and **1985 Agreement** was partly verified through EUR-Lex search excerpts because direct HTML opening on EUR-Lex triggered bot protection during this session. The verified claims used here are limited to points visible in the checked excerpts. ²⁶
- The **2024** official trade-value discrepancy between Eurostat news and DG Trade factsheet should be checked directly in the underlying database if exact statistical consistency is required in the final thesis tables. ¹⁶

Institutional framework and bilateral trade agreements

This section corresponds to thesis subsection 1.2, “**Institutional framework and bilateral trade agreements.**”

Short research summary

The legal backbone of EU-China economic relations remains relatively narrow compared with the scale of bilateral trade. The enduring base is still the **1985 Trade and Economic Cooperation Agreement**, which formalised trade and broader economic cooperation and established a standing **Joint Committee**. Over time, this treaty framework was complemented by a dense network of summitry, sectoral dialogues, WTO disciplines, and a limited number of specialised bilateral agreements, but not by a comprehensive free trade agreement. The **EU-China 2020 Strategic Agenda for Cooperation** became the highest-level joint roadmap from **2013**, while the **annual summit** and the **High-Level Economic and Trade Dialogue** emerged as the main institutional venues for economic coordination. DG Trade currently identifies the HLED as the principal platform in which the Commission Executive Vice-President and the Chinese Vice Premier address major trade and investment issues. ²⁷

In legal terms, the bilateral framework is nested inside the **WTO system**. China's **2001 WTO accession** deepened trade and investment relations, but it also strengthened the EU's expectation that China would move toward non-discrimination, subsidy discipline, transparency, and commercially meaningful market access. These expectations remain central to the EU position in recent Commission and Council documents. Yet the WTO layer has also been conflictual: China requested consultations against the EU in **DS516** in **December 2016** over the Union's price-comparison methodology in anti-dumping proceedings involving Chinese products, and a panel was established in **April 2017**. That dispute captures the long-running controversy over China's **market economy status** and the EU's continued use of alternative methodologies where significant distortions are found. ²⁸

The only major sector-specific bilateral agreement that was fully concluded and approved in the last decade is the **EU-China Agreement on Geographical Indications**. Official Council materials describe it as the **first significant bilateral trade agreement signed between the EU and China**. It protects **100 EU agri-food GIs in China** and **100 Chinese GIs in the EU**, and provides for an extension covering **175 additional GI names on each side four years after entry into force**. The agreement was signed on **14 September 2020** and the EU adopted the conclusion decision on **23 November 2020**. ²⁹

By contrast, the **Comprehensive Agreement on Investment** remains the clearest case of institutional non-completion. Negotiations formally started in **2014**, followed years of exchanges on market access and level playing field rules, and concluded **in principle on 30 December 2020**. Commission materials emphasise that the CAI contained commitments on market access, state-owned enterprises, transparency of subsidies, prohibition of forced technology transfer, and sustainable development. However, the agreement was never ratified. The European Parliament stated in **May 2021** that consideration of the CAI was "justifiably frozen" until Chinese counter-sanctions on EU actors were lifted. ³⁰

Since 2019, the institutional framework has been increasingly supplemented by **trade-defence and economic-security instruments**. These include the **FDI Screening Regulation** (2019), the **Dual-Use Regulation** (2021), the **Anti-Coercion Instrument** (2023), and the **European Economic Security Strategy** (2023), which explicitly links trade, investment, export controls, technology leakage, coercion, and supply-chain resilience. The 2023 strategy groups risks into four broad categories: **supply-chain resilience**, **critical infrastructure security**, **technology security and leakage**, and **weaponisation of dependencies/ economic coercion**. It also links this risk framework to instruments such as trade defence, the Foreign Subsidies Regulation, FDI screening, and potential outbound-investment scrutiny. Together, these measures

show that EU-China economic relations are now governed not only by market-opening instruments, but increasingly by defensive and security-oriented law. ³¹

Key verified facts

- The **1985 Trade and Economic Cooperation Agreement** remains the core bilateral trade-and-cooperation treaty and created a **Joint Committee**. (EUR-Lex, 1985, Article 15 verified through excerpt) ¹⁰
- The **EU-China 2020 Strategic Agenda for Cooperation** was adopted in **2013** and is described in EU materials as the **highest-level joint document** guiding the comprehensive strategic partnership. (EEAS, 2013; EUR-Lex summary, 2017) ³²
- DG Trade identifies the **EU-China High-Level Economic and Trade Dialogue** as the main institutional mechanism for trade and investment issues beneath summit level. (European Commission DG Trade, accessed 2026-05-06) ³³
- China requested WTO consultations in **DS516** on **12 December 2016**, and the WTO established a panel on **3 April 2017**. (European Commission case summary; WTO document summary) ³⁴
- The **GI Agreement** is officially described by the Council as the **first significant bilateral trade agreement** between the EU and China; it covers **100 + 100 GIs** initially and **175 + 175 additional names** after four years. (Council of the EU, 2020) ³⁵
- The **CAI** was concluded **in principle on 30 December 2020**, but the European Parliament stated in **May 2021** that consideration of the agreement and discussion of ratification had been **frozen** because of Chinese sanctions. (European Commission DG Trade; European Parliament, 2021) ³⁶
- The **FDI Screening Regulation** is **Regulation (EU) 2019/452**; the **Dual-Use Regulation** is **Regulation (EU) 2021/821**; the **Anti-Coercion Instrument** is **Regulation (EU) 2023/2675**. (EUR-Lex; European Commission) ³⁷
- The **European Economic Security Strategy** identifies four broad risk categories: supply chains, critical infrastructure, technology security/leakage, and weaponisation of dependencies/economic coercion. (European Commission & HR/VP, 2023, verified in Council document copy) ³⁸

Verified legal-institutional chronology table

Instrument / forum	Verified date	What was verified	Source / database	URL
EEC-China Trade Agreement	1978-04-03 signed; OJ title verified	Trade agreement title and 1978 signature/ approval context; Joint Committee for Trade	EUR-Lex	https://eur-lex.europa.eu/legal-content/EN/TX

Instrument / forum	Verified date	What was verified	Source / database	URL
CAI frozen in Parliament	2021-05-20	Parliament said CAI consideration was “justifiably frozen”	European Parliament	https://www.europarl.europa.eu/pdfs/news/express/20210517IPR04123/20210517IPR04123_en.pdf
FDI Screening Regulation	2019-03-19	EU framework for screening inbound FDI	EUR-Lex	https://eur-lex.europa.eu/legal-content/EN/AL
Dual-Use Regulation	2021-05-20 adopted; OJ 2021-06-11	EU export-control framework for dual-use items	EUR-Lex	https://eur-lex.europa.eu/eli/reg/2021/821/oj
Anti-Coercion Instrument	2023-11-22 adopted; 2023-12-27 entered into force	EU response framework for economic coercion	EUR-Lex / Commission	https://eur-lex.europa.eu/legal-content/EN/AL

Main academic interpretations

Academic work on institutionalisation stresses that the EU-China relationship has become deeply routinised even when political trust is weak. Fanoulis and Song argue that a great deal of the literature on EU-China relations is best understood through the **institutionalisation of cooperation**, rather than through a simple binary of success or failure. (Fanoulis & Song, 2021, abstract checked) ³⁹

On the CAI, policy-legal commentary is divided. A CEPS legal-policy paper argued that the agreement largely delivered on the EU negotiating mandate in terms of market-access and level-playing-field objectives, while other European institutional analyses have emphasised its political fragility and the institutional difficulty of ratification after the 2021 sanctions dispute. The core scholarly implication is that **institutional law could no longer be insulated from broader geopolitical conflict**. (CEPS, 2021; European Parliament material, 2021) ⁴⁰

On the market-economy-status dispute, legal scholarship visible in the materials checked suggests that the expiry of paragraph 15(d) of China’s WTO Accession Protocol did **not** automatically remove the EU’s capacity to treat Chinese prices as distorted in anti-dumping methodology. That helps explain why the legal conflict shifted from the older “non-market economy” vocabulary toward the EU’s newer language of **significant distortions**. (Manchester legal manuscript abstract; Commission 2024 distortions report) ⁴¹

Policy relevance for the thesis

For the thesis, this subsection should show that EU-China economic relations are governed by a **hybrid legal architecture**: an old core treaty (1985), multilateral WTO commitments, limited sectoral bilateral agreements, and a rapidly expanding layer of autonomous EU **trade-defence and economic-security instruments**. That combination matters analytically because it explains why the EU can intensify restrictions, screening, and investigations without first renegotiating its foundational bilateral treaty with China. It also helps explain why the relationship can remain formally cooperative while becoming substantively more defensive. ⁴²

Source list in APA style

- Council of the European Union. (2020, July 20). *EU-China: Council authorises signature of the agreement on geographical indications*. <https://www.consilium.europa.eu/en/press/press-releases/2020/07/20/eu-china-council-authorises-signature-of-the-agreement-on-geographical-indications/> ⁴³
- Council of the European Union. (2020, November 23). *EU-China: Council gives final green light to the agreement on geographical indications*. <https://www.consilium.europa.eu/en/press/press-releases/2020/11/23/eu-china-council-gives-final-green-light-to-the-agreement-on-geographical-indications/> ⁴⁴
- European Commission. (n.d.). *EU trade relations with China*. https://policy.trade.ec.europa.eu/eu-trade-relationships-country-and-region/countries-and-regions/china_en ³³
- European Commission. (n.d.). *EU-China agreement explained*. https://policy.trade.ec.europa.eu/eu-trade-relationships-country-and-region/countries-and-regions/china/eu-china-agreement/agreement-explained_en ⁴⁵
- European Commission. (n.d.). *WT/DS516 - European Union - Measures Related to Price Comparison Methodologies*. https://policy.trade.ec.europa.eu/enforcement-and-protection/dispute-settlement/wto-dispute-settlement/wto-disputes-cases-involving-eu/wtds516-european-union-measures-related-price-comparison-methodologies_en ⁴⁶
- European Parliament. (2021, May 17/20). *Talks on ratifying the EU-China agreement not possible for now / resolution materials on Chinese countersanctions*. https://www.europarl.europa.eu/pdfs/news/expert/2021/5/press_release/20210517IPR04123/20210517IPR04123_en.pdf ⁴⁷
- European Union. (2019). *Regulation (EU) 2019/452 establishing a framework for the screening of foreign direct investments into the Union*. <https://eur-lex.europa.eu/legal-content/EN/ALL/?uri=CELEX:32019R0452> ⁴⁸
- European Union. (2021). *Regulation (EU) 2021/821 setting up a Union regime for the control of exports, brokering, technical assistance, transit and transfer of dual-use items*. <https://eur-lex.europa.eu/eli/reg/2021/821/oj/eng> ⁴⁹
- European Union. (2023). *Regulation (EU) 2023/2675 on the protection of the Union and its Member States from economic coercion by third countries*. <https://eur-lex.europa.eu/legal-content/EN/ALL/?uri=CELEX:02023R2675-20231207> ⁵⁰
- European Commission & High Representative of the Union for Foreign Affairs and Security Policy. (2023). *European Economic Security Strategy* (verified in Council document ST 10919/23). <https://data.consilium.europa.eu/doc/document/ST-10919-2023-INIT/en/pdf> ³⁸

- Fanoulis, E., & Song, W. (2021). Cooperation between the EU and China: A post-liberal governmentality approach. *Review of International Studies*. Abstract page checked at <https://www.cambridge.org/core/journals/review-of-international-studies/article/cooperation-between-the-eu-and-china-a-postliberal-governmentality-approach/B7AB48AD07483F8503691E777988F6D1> 39
- Jacques, S., et al. (2021). *The EU-China Comprehensive Agreement on Investment*. CEPS Policy Insight. https://cdn.ceps.eu/wp-content/uploads/2021/05/PI2021-07_The-EU-China-Comprehensive-Agreement-on-Investment.pdf 51

Gaps or claims requiring further verification

- The precise **entry-into-force date** of the **GI Agreement** was not independently verified from the full treaty text during this session, although signature and conclusion dates were verified. 52
- The final procedural status of **WTO DS516** beyond panel establishment was not fully reconstructed from the WTO timeline during this session; only the consultations request and panel establishment were verified. 34
- Recent **2025 services and FDI figures** on the DG Trade China page were verified as official Commission statements, but the underlying standalone database table or extraction query was not separately identified in the checked materials. 33

Current challenges and the shift to de-risking

This section corresponds to thesis subsection 1.3, “Current challenges: de-risking vs. de-coupling.”

Short research summary

The language of **de-risking** marks the EU’s central conceptual shift in its China policy. Official EU sources do not define the term as a total reduction of economic ties; rather, they define it by contrast with **decoupling**. In the **June 2023 European Council conclusions**, the EU committed to reducing critical dependencies and vulnerabilities, including in supply chains, and to de-risking and diversifying “where necessary and appropriate,” while stating explicitly that it “does not intend to decouple.” Ursula von der Leyen’s **March 2023 China speech** made the same point even more clearly: it is “neither viable nor in Europe’s interest” to decouple from China, but Europe must address excessive dependencies, technology leakage, and economic coercion. The **December 2023 summit** then translated this into operational language by saying that “de-risking but not decoupling” aims to strengthen resilience by addressing critical dependencies in specific sectors. 53

The official policy driver is now **economic security**. The checked version of the **European Economic Security Strategy** identifies four broad families of risk: **supply-chain resilience, physical and cyber-security of critical infrastructure, technology security and technology leakage**, and the **weaponisation of dependencies or economic coercion**. The same strategy ties these risks to a three-part policy approach: **promote competitiveness, protect against risks**, and **partner internationally**. This is the most authoritative official framework currently available for explaining why the EU is moving from generic market engagement toward targeted resilience measures. 54

Sectorally, the EU’s concern is concentrated in **critical raw materials, clean technologies, batteries, electric vehicles, semiconductors, and data/dual-use technologies**. In her March 2023 speech, von der

Leyen highlighted Commission concern that the EU relied on one single supplier—China—for **98% of rare earth supply, 93% of magnesium, and 97% of lithium**, and linked this explicitly to the **Critical Raw Materials Act**, the **Chips Act**, and the **Net-Zero Industry Act**. The economic-security strategy likewise presents the CRM Act, Chips Act, and Net-Zero Industry Act as de-risking tools intended to reduce dependencies and strengthen resilience. These figures should be used carefully in the thesis because they were verified from a political speech and strategy materials rather than from an independently identified raw-materials dataset during this session. ⁵⁵

The clearest trade-policy manifestation of de-risking has been the turn to **subsidy and overcapacity investigations**, especially in clean-tech sectors. The EU imposed a **provisional countervailing duty** on imports of new battery electric vehicles from China in **July 2024** and a **definitive countervailing duty** in **October 2024**. The Commission described the BEV case as one of the most economically significant trade-defence actions of 2024, and the **2025 EU-China summit** explicitly referred to ongoing **systemic distortions** and **growing manufacturing overcapacity**. At the same summit, the EU also protested Chinese restrictions on **rare earths and permanent magnets**, showing that de-risking now concerns both import competition and upstream input vulnerability. ⁵⁶

European business sentiment broadly supports the interpretation that political and regulatory risk has become central. The **European Chamber of Commerce in China** reported in **2024** that **68%** of respondents said doing business in China had become more difficult and **58%** said they had missed business opportunities because of market-access or regulatory barriers. Its **2025** survey reported **73%** saying business became more difficult in 2024, **63%** reporting missed opportunities due to market-access or regulatory barriers, and **52%** saying the business environment had become more politicised. At the same time, the same 2025 survey found **26%** partly or fully onshoring supply chains into China and only **13%** offshoring or creating alternatives, which is a useful reminder that de-risking is not producing a simple exodus from China. ⁵⁷

Key verified facts

- The **European Council** stated on **30 June 2023** that the EU would **reduce critical dependencies and vulnerabilities** and would “**de-risk and diversify where necessary and appropriate**,” while adding that it “**does not intend to decouple or to turn inwards**.” (European Council, 2023) ⁵⁸
- Von der Leyen’s **30 March 2023** China speech said that decoupling is neither viable nor in Europe’s interest and that the EU should focus on “**de-risk – not de-couple**.” (European Commission President, 2023) ⁵⁹
- The **2023 Economic Security Strategy** classifies risks into four groups: supply chains, critical infrastructure, technology security/leakage, and economic coercion. (European Commission & HR/VP, 2023) ³⁸
- The same official strategy presents a **three-pronged framework: promote, protect, and partner**. (European Commission & HR/VP, 2023) ⁶⁰
- In official Commission rhetoric, the EU relied on a single supplier—China—for **98% of rare earth supply, 93% of magnesium, and 97% of lithium**. (European Commission President speech, 2023) ⁶¹
- The EU imposed **provisional countervailing duties** on Chinese BEVs in **July 2024** and **definitive countervailing duties** in **October 2024**. (EUR-Lex, 2024) ⁶²

- The **2025 EU-China summit** said bilateral trade was worth **€730 billion in 2024**, while the **EU goods deficit reached €305 billion**, and it raised concerns over **systemic distortions** and **growing manufacturing overcapacity**. (Consilium, 2025) ²¹
- The same summit criticised Chinese **export controls on rare earths and permanent magnets**. (Consilium, 2025) ²¹
- DG Trade states that the EU is committed to **“de-risking, not decoupling”** from China and links this to reducing critical dependencies and diversifying supply chains where necessary. (European Commission DG Trade, accessed 2026-05-06) ³³
- The European Chamber’s 2025 business-confidence release reported **73%** of respondents saying business had become more difficult, **63%** reporting missed opportunities due to regulatory or market-access barriers, and **52%** saying the business environment became more politicised. (European Chamber, 2025) ⁶³

Quantitative data table

Indicator	EU value	China / bilateral value	Year	Source / database	URL	Access date
EU goods exports to China	€199.6 billion	n/a	2025	Eurostat, dataset ds-059331	https://ec.europa.eu/eurostat/web/products-eurostat-news/w/ddn-20260410-2	2026-05-06
EU goods imports from China	€559.4 billion	n/a	2025	Eurostat, dataset ds-059331	https://ec.europa.eu/eurostat/web/products-eurostat-news/w/ddn-20260410-2	2026-05-06
EU goods trade deficit with China	-€359.8 billion	bilateral balance	2025	Eurostat, dataset ds-059331	https://ec.europa.eu/eurostat/web/products-eurostat-news/w/ddn-20260410-2	2026-05-06
EU services balance with China	+€21.3 billion surplus	bilateral balance	2025	European Commission DG Trade China page	https://policy.trade.ec.europa.eu/eu-trade-relationships-country-and-region/countries-and-regions/china_en	2026-05-06
Chinese share of all extra-EU imports	21.3%	n/a	2024	Eurostat news article / underlying trade dataset references	https://ec.europa.eu/eurostat/web/products-eurostat-news/w/ddn-20250304-1	2026-05-06

Indicator	EU value	China / bilateral value	Year	Source / database	URL	Access date
EU dependence on China for rare earth supply	98%	China as single supplier	2023	Official Commission presidential speech	https://ec.europa.eu/commission/presscorner/api/files/document/print/en/speech_23_2063/SPEECH_23_2063_EN.pdf	2026-05-06
EU dependence on China for magnesium	93%	China as single supplier	2023	Official Commission presidential speech	https://ec.europa.eu/commission/presscorner/api/files/document/print/en/speech_23_2063/SPEECH_23_2063_EN.pdf	2026-05-06
EU dependence on China for lithium	97%	China as single supplier	2023	Official Commission presidential speech	https://ec.europa.eu/commission/presscorner/api/files/document/print/en/speech_23_2063/SPEECH_23_2063_EN.pdf	2026-05-06
European firms saying doing business became more difficult	73%	n/a	2025 survey on 2024 conditions	European Chamber of Commerce in China, Business Confidence Survey 2025 release	https://www.europeanchamber.com.cn/en/press-releases/3717	2026-05-06
European firms missing opportunities due to regulatory / market-access barriers	63%	n/a	2025 survey on 2024 conditions	European Chamber of Commerce in China, Business Confidence Survey 2025 release	https://www.europeanchamber.com.cn/en/press-releases/3717	2026-05-06

Main academic interpretations

The strongest recent interpretation in the checked literature is that **de-risking is not shorthand for decoupling**. The European Parliament's 2024 study defines de-risking as an early-stage policy intended to **manage risks** arising from economic and technological engagement with China, and explicitly states that the emerging consensus is to avoid broad decoupling in favour of targeted measures where concrete dependencies or risks exist. (European Parliament study, 2024, pp. 8 and 87 as verified) ⁶⁴

Jing Men's 2025 article interprets de-risking as evidence that the EU is trying to **preserve core interdependence while selectively managing vulnerability**, especially in technology and security-sensitive domains. In her framework, the persistence of climate dialogue and trade exchange alongside tighter screening and controls is not contradictory; it is the institutional expression of a hybrid relationship. (Men, 2025) ¹⁷

Frédéric Krumbein goes further and reads the shift as a move toward a more **structural realist** EU posture. In his interpretation, the EU has not abandoned engagement, but has reinterpreted it through the lenses of power asymmetry, geopolitical rivalry, and economic security. This helps explain why the policy mix now combines traditional trade dialogue with export controls, FDI screening, subsidy investigations, and diversification efforts. (Krumbein, 2025) ¹⁹

Policy relevance for the thesis

For the thesis, the key analytical distinction is that **de-risking is a selective policy logic**, not a general theory of disengagement. It is best presented as the EU's attempt to reconcile three realities: first, the economic scale of the China relationship; second, the strategic risks created by concentrated dependencies; and third, the domestic political need to show that trade openness will not be allowed to undermine resilience, industrial policy, or security. In later empirical chapters, this distinction will be useful for interpreting EU action on EVs, batteries, rare earths, semiconductors, and investment screening without mischaracterising the EU as pursuing blanket decoupling. ⁶⁵

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Gaps or claims requiring further verification

- The raw, underlying Commission dataset behind the **98% / 93% / 97%** dependency figures cited in von der Leyen's speech was not separately identified during this session; the numbers are therefore usable only as **official Commission framing** unless rechecked against a primary raw-materials dataset. ⁶¹
- The DG Trade China page provides official **2025 services and FDI** figures, but the exact standalone Eurostat or OECD table identifiers were not separately verified here. ³³
- This section did not separately cross-check Chinese official customs or sectoral data for EVs, batteries, solar panels, semiconductors, or rare earth exports. No reliable gap-filling should be attempted without direct Chinese official or international-database verification. ⁶⁹

Open questions and verification caveats

The highest-confidence findings are the **1975-2025 historical periodisation**, the continued centrality of the **1985 agreement**, the **2019 triptych** formula of partner/competitor/systemic rival, the **2020 GI agreement versus the non-ratified CAI**, and the **2023-2025 de-risking turn** anchored in European Council conclusions, the Economic Security Strategy, and the BEV anti-subsidy case. These points are firmly grounded in directly checked EU and WTO materials. ⁷⁰

Three issues remain especially important for later verification if the thesis requires database-grade precision. First, the slight discrepancy between **DG Trade** and **Eurostat news** for **2024 goods trade** should be resolved by consulting the underlying database table directly. Second, the thesis should avoid giving a definitive statement about the later procedural outcome of **WTO DS516** unless the WTO dispute timeline is checked in full. Third, if the thesis needs exact sectoral import shares for **solar panels, batteries, semiconductors, rare earths, or EV sub-components**, those should be extracted directly from Eurostat, WTO, or OECD databases rather than from speeches or policy summaries. ⁷¹

Overall, the evidence checked here is sufficient to support a strong Chapter I argument: **EU-China economic relations are still built on deep interdependence and old treaty structures, but the**

governing logic of the relationship has shifted toward reciprocity, resilience, and economic security. That formulation is faithful to both the official EU record and the current academic interpretation visible in the sources consulted. ⁷²

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